FOMO and Nostalgia-Based Emotional Branding Strategies: Driving Emotional Consumption Across Generation Z

1. Abstract

This study examines how FOMO (Fear of Missing Out) and nostalgia-based emotional branding strategies drive emotional consumption among Generation Z (Gen Z) across fashion, beauty, and technology brands. In the digital age, Gen Z consumers increasingly prioritize purchases that fulfill emotional needs—such as identity construction, community belonging, and alignment with personal values—over purely functional attributes. These emotional consumption patterns create a bidirectional relationship with brand strategies, where Gen Z preferences shape marketing tactics while adapted campaigns further intensify consumption cycles.

A multi-case study methodology will be used, the research analyzes campaigns from leading Gen Z brands (fashion: Supreme, Nike; beauty: CeraVe, Rare Beauty; technology: Razer, Logitech) through document analysis of social media content, limited-drop announcements, influencer partnerships, and performance metrics. FOMO strategies—characterized by scarcity timers, flash sales, and urgency messaging—target younger Gen Z seeking peer approval, while nostalgia tactics leveraging Y2K aesthetics and retro authenticity appeal to older Gen Z pursuing stability and cultural connection.

Findings reveal distinct emotional pathways: FOMO accelerates impulse buying through anxiety-relief cycles, while nostalgia fosters attachment via psychological security. Both mechanisms demonstrate self-reinforcing feedback loops where brand adaptations amplify Gen Z's emotional consumption intensity.

This study advances emotional branding research by showing how strategies differ across Gen Z life stages and how they directly influence consumption patterns. For brand managers, it identifies opportunities for targeted emotional marketing across product categories while raising ethical concerns about FOMO tactics. The findings provide a foundation for understanding emotional consumption among digital-native generations.

2. Literature Review

2.1 Emotional Consumption Defintion

Emotional consumption refers to buying driven by emotional needs rather than practical use, such as purchasing for pleasure, mood improvement, status expression, or social connection (Puckhaber, 2025). It is closely aligned with hedonic consumption, where consumers seek sensory pleasure, excitement, and self-expression beyond basic functional needs (Zigu, 2011). It often involves products used to manage or enhance mood (e.g. treats, fashion, entertainment) and to construct identity or status, such as designer goods that provide pride and social recognition. In stressful or negative states, hedonic choices can serve mood repair by generating positive affect and emotional recovery (Balleyer & Fennis, 2022).

To define emotions in consumption, Richins develops the Consumption Emotion Sets (CES) (see Table1), a validated taxonomy of 47 emotions experienced during consumption (buying, using, owning products/services), organized into 16 clusters including fear and contentment, which is relevant to FOMO and nostalgia (Richins, 1997). This framework underlines that consumption is embedded in rich emotional episodes rather than simple satisfaction–dissatisfaction judgments.

Anger	frustrated	**Contentment**	contented
	angry		fulfilled
	irritated	**Optimism**	optimistic
Discontent	unfulfilled		encouraged
	discontented		hopeful
Worry	nervous	**Joy**	happy
	worried		pleased
	tense		joyful
Sadness	depressed	**Excitement**	excited
	sad		thrilled
	miserable		enthusiastic
Fear	scared	**Surprise**	surprised
	afraid		amazed
	panicky		astonished
Shame	embarrassed	**Guilty**	
	ashamed	**Proud**	
	humiliated	**Eager**	
Envy	envious	**Relieved**	
	jealous	**Awed**	
Romantic love	sexy	**Carefree**	
	romantic	**Comforted**	
	passionate	**Helpless**	
Love	loving	**Impatient**	
	sentimental	**Longing**	
	warm hearted	**Nostalgic**	
Peacefulness	calm	**Protective**	
	peaceful	**Wishful**	

Source: Richins, 1997, pp.144:145

Table 1. Consumption Emotion Sets (Richins, 1997)

Complementing this, Uses and Gratifications theory (U&G) posits that consumers actively select products and media to fulfil emotional needs such as social integration, excitement and tension releases (Doob, 1950). People use media and symbolic goods to regulate arousal and mood: when bored or distressed, they seek stimulating or comforting content to adjust their affective state (Doob, 1950). Gratifications such as emotional release, entertainment and intrinsic enjoyment map directly onto hedonic, emotionally driven consumption (e.g. streaming, gaming, social media commerce). This framework suggests the reason why Gen Z seeks emotionally charged consumption, but lacks integration with discrete emotion like FOMO or nostalgia.

2.2 Gen Z Definition

Generation Z (born between 1997 and 2012) (Warren, 2024) represents the first digital native generation, shaped by technology, social media, and global events like the Great Recession and the pandemic.

2.3 Emotional Consumption in GenZ

2.3.1 FOMO in GenZ

Over 70% of Gen Z individuals report experiencing FOMO (Fear of Missing Out) regularly (Suryawanshi, 2025), with research showing significantly higher FOMO levels (mean = 2.35) compared to Millennials (mean = 2.14), driven by their lifelong digital connectivity and expectation of real-time social awareness (Chakrabarti, 2024).

Compressed trend cycles on platforms like TikTok mean missing a viral sound or limited release equates to immediate social irrelevance within peer networks (Kalin Anastasov, 2025). This characteristic environment fosters prevalent FOMO, distinguishing Gen Z from previous generations.

2.3.2 FOMO as Driver of Emotional Consumption

FOMO triggers emotional consumption through a clear anxiety-relief mechanism. Social media exposure creates fear of missing rewarding social experiences, activating needs for belonging and peer approval (Przybylski et al., 2013). This anxiety prompts hedonic purchases that temporarily alleviate exclusion fears while signaling social status (Argan et al., 2022).

This pattern resembles compulsive behaviors, where buying provides immediate gratification but increases future FOMO sensitivity, forming self-reinforcing consumption cycles (Elhai et al., 2020). Studies confirm FOMO mediates the link between social comparison and impulse buying ($\beta=0.42$, $p<0.01$), establishing it as a key driver of Gen Z's emotional purchasing (Richins, 1997).

2.3.3 Nostalgia in Gen Z

Social media platforms like TikTok and Instagram keep bringing back old trends through algorithms and user content. This creates "fauxstalgia" (second-hand nostalgia) for Gen Z, who never lived through these times (InsightTrendsWorld, 2025). Hashtags like #Y2Kfashion and #2000sNostalgia gets millions of views with nostalgic edits, thrift finds, and retro styles (low-rise jeans, butterfly clips, 2010s filters) (Gupta, 2025).

2.3.4 Nostalgia as Driver of Emotional Consumption

TikTok's short videos create 2.5x more engagement than longer content. Y2K styles regularly beat current trends (Emplicit, 2025). This format drives Gen Z to consume and remix nostalgic elements for identity expression and escapism.

Unlike older generations who experienced the eras they reminisce about, Gen Z's relationship with nostalgia is vicarious. Their nostalgic experiences are shaped by second-hand exposure through YouTube videos, Netflix reboots, curated Instagram aesthetics, and TikTok throwback trends(Nations, 2022). Consequently, their nostalgia is not rooted in lived experiences but in media-mediated representations of the past. This makes them uniquely susceptible to retro-themed advertising that invokes familiarity, security, and identity reinforcement in a fast-changing digital environment. Studies suggest that Gen Z's affinity for retro media is not based on lived experience but a stylized appreciation of the past, constructed through visual storytelling and communal nostalgia (Alfasi & Weiss, 2022).

According to Wildschut et al. (2006), nostalgia enhances psychological well-being by increasing social connectedness and existential meaning, which may influence consumption behavior as a coping mechanism (Wildschut et al., 2006).
Thus, nostalgia acts not only as a promotional device but also as an emotional support during identity development—a critical aspect for Gen Z(Nations, 2022).

2.4 Existing brand strategy

2.4.1 Gen Z's Top Brand Categories

Beauty, streetwear, sportswear, tech, and retail platforms dominate Gen Z conversations. Recent analysis shows fashion, beauty, sportswear, and technology categories make up over 70% of top-discussed brands, while traditional sectors like cars and packaged goods represent less than 8% (Basis Signals, 2026).

2.4.2 Commonly Used Branding Strategies

2.4.2.1 Fashion and Sportswear: Influencers and Limited Drop

Fashion and sportswear brands mainly use influencer partnerships and limited releases to match Gen Z's need for authenticity and urgency. Micro-influencers work better than celebrities, especially for streetwear and athleisure brands like Gymshark and Nike, where creator collaborations make up 47% of strategy focus (Opensend, 2025). Limited edition releases and flash sales create FOMO, as shown by Supreme's weekly drops and Adidas Yeezy scarcity model (Opensend, 2025). At the same time, nostalgia marketing with Y2K aesthetics and 90s sportswear relaunches has become standard, with retro packaging gaining 43% higher TikTok engagement than current content (Barton et al., 2025).

2.4.2.2 Beauty: Viral Challenges and Performance Positioning

Beauty brands rely on TikTok viral challenges and AR experiences as main strategies, since 58% of Gen Z discover products through social media (BOF Team & McKinsey & Company, 2023). Augmented Reality(AR) filters and #GRWM (Get Ready With Me) videos promote brands like e.l.f. (Jarsking, 2025) and Rare Beauty (lensblogadmin, 2023). Affordable performance positioning works well (CeraVe, The Ordinary), with clinical effectiveness plus "clean girl" aesthetics (Sala, 2025). User-generated content like before/after reviews provides social proof, while personalisation through shade-matching quizzes and custom skincare routines builds emotional attachment (Tolstoy, 2025).

2.4.2.3 Technology and Gaming: Community Building and Creator Integration

Tech brands focus on gaming culture integration and community platforms. Discord servers, esports sponsorships, and beta tester programs create participatory brand ecosystems (Barton et al., 2025). Gaming peripherals (Razer, Logitech) and mobile brands partner with Twitch streamers and tech YouTubers for authentic endorsements (Dmytro Murko, 2023) (Logitech, 2019), while limited edition hardware drops follow fashion's FOMO model (Marketingdive, 2019). Visual storytelling through unboxing videos and sleek product renders dominates Instagram and YouTube strategies (Chaitanya Koneti et al., 2025).

2.4.3 Common Strategies Across Categories

Across all four categories, personalisation, social proof, and experiential marketing form the core approach, supported by AI-driven recommendations and immersive technologies. Recent studies confirm influencer credibility directly correlates with Gen Z brand preferences in fashion, beauty, and tech sectors. marking a shift from top-down messaging to peer-shaped narratives (Chaitanya Koneti et al., 2025). The strategies reflect Gen Z's demand for immediacy, authenticity, and cultural relevance through platform-native execution rather than interruptive advertising (Basis Signals, 2026a).

2.5 Research Gap

Existing literature largely describes how brands react to Gen Z preferences through influencer marketing, scarcity tactics, and nostalgic design. However, it does not yet clarify whether Gen Z’s emotional traits directly drive these strategic changes, nor how these adjusted strategies further intensify Gen Z’s emotional consumption, creating self-reinforcing cycles of FOMO-driven impulse buying and nostalgia-based brand dependence. The present study addresses both directions: how Gen Z characteristics shape brand strategy, and how these strategies in turn amplify emotional consumption across different Gen Z life stages.

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